



Why Facebook might fail



Will Facebook survive all the pressures that an IPO brings? Sure. Of course. Obviously! It has to... right? How could it fail? You mean... Hmm...

Robert Sovereign-Smith
editor@thinkdigit.com

Disbelief that turns into even the tiniest shadow of doubt. Sound familiar? It's capitalism at it's best (or worst). Just as the banks that were doling out sub-prime loans didn't think it would ever happen to them before the recession, no one ever sees the fire until they're choking on the smoke. Just as in nature, forces beyond control are at play, and despite millions of humans spending trillions of man hours trying to play the prediction game, there's no such thing as a sure shot.

We're no different of course, which is why this story is not called "Why Facebook will fail". Sure, Facebook might just turn out to be the biggest technology company there ever was, and leave us looking a little silly! However, we think it would be even sillier to put on blinders, write fluff pieces about how many zeros we think the Facebook initial public offering (IPO) will yield, and get drunk

with everyone else who has delusions of grandeur – as if having a Facebook account entitles you to stock options!

Actually, we're not exactly known to be a sober, rational and serious bunch here at Digit, but we're certainly not drunk enough on Facebook's success to avoid noticing the rather large pink pachyderm that's standing quietly in the corner, just itching to start a stampede!

In high spirits

First up, let's look at all the numbers that cause so many of us to get as wobbly-kneed as a baby taking its first step.

Facebook is a very, very successful business indeed; and yes, it's a business, not just some place you go to "Poke" buddies, "Like" new haircuts and share photographs of aforementioned wobbly-kneed behaviour with friends... Thanks to the IPO that's got the world talking, we know that Facebook earned about \$3.7 billion in 2011 – of which about \$1 billion (over 25 percent) was net profits!

So where does the \$100 billion number that's being thrown about so avidly come from? It's a made up number that's basically telling people that because Facebook earns nearly \$4 billion a year in advertising, with growth, it will be worth much, much more in the long run. Theoretically, if you happen to have \$100 billion lying about, you could buy Facebook for yourself, and earn many billions on it in the long run.

However, everything about a company decides the value of said company on the stock market. If Zuckerberg, and all the major people who run Facebook were to sell most of their stock, or resign, you can bet your britches Facebook stock would plummet, and obviously not be worth anywhere close to \$100 billion anymore. The same applies to how you use Facebook – if the majority stops spending so much time on the site (close to 30 minutes a day on an average across 800+ million users), stocks plummet. There are a million more ways in which said stock can fall or rise. It's all speculation based, and even rumours can affect stock prices.

What's guaranteed though, is the fact that once a company goes public, it appoints a board of directors, and the sole aim of that board is to ensure that its investors make more money (or that stock prices, and company value as a result, go up). In other words, it becomes

"We are not going to see the flood of IPOs that happened during the late 90's. The rules of the game have changed. The infrastructure to facilitate IPOs is no longer there, and the regulatory environment has changed."

Vivek Wadhwa,
Washington Post